

MINDTECK (INDIA) LIMITED

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UNAUDITED CONSOLIDATED FINANCIAL RESULTS FOR THE QUARTER AND HALF YEAR ENDED SEPTEMBER 30, 2014

(Rs in lacs, except as otherwise stated)

Sl. No.	Particulars	Quarter ended			Half year ended		Year ended
		30-Sep-2014	30-Jun-2014	30-Sep-2013	30-Sep-2014	30-Sep-2013	31-Mar-2014
		Unaudited	Unaudited	Unaudited	Unaudited	Unaudited	Audited
		(Note 1)	(Note 1)	(Note 1)	(Note 1)	(Note 1)	
1	Income from operations	8,187.49	8,240.99	8,588.37	16,428.48	16,217.89	32,881.24
2	Expenses						
	a) Employee benefits expense	4,675.38	4,891.11	5,275.04	9,566.49	10,244.23	20,389.64
	b) Cost of technical sub-contractors	1,941.31	1,918.12	1,708.32	3,859.43	3,144.98	6,755.76
	c) Depreciation and amortisation expense	52.64	45.37	18.57	98.01	38.29	89.26
	d) Other expenses	683.26	665.91	743.50	1,349.17	1,415.96	2,839.21
	Total expenses	7,352.59	7,520.51	7,745.43	14,873.10	14,843.46	30,073.87
3	Profit from operations before other income, finance costs and exceptional items (1 - 2)	834.90	720.48	842.94	1,555.38	1,374.43	2,807.37
4	Other income	12.67	18.53	10.63	31.21	17.49	61.07
5	Foreign exchange gain / (loss)	(22.63)	(5.58)	65.00	(28.21)	111.12	33.33
6	Profit from ordinary activities before finance costs and exceptional items (3 + 4 + 5)	824.94	733.43	918.57	1,558.38	1,503.04	2,901.77
7	Finance costs	11.53	6.82	13.17	18.36	27.33	48.59
8	Profit from ordinary activities after finance costs but before exceptional items (6 - 7)	813.41	726.61	905.40	1,540.02	1,475.71	2,853.18
9	Exceptional items	-	-	-	-	-	-
10	Profit from ordinary activities before tax (8 - 9)	813.41	726.61	905.40	1,540.02	1,475.71	2,853.18
11	Tax expense	246.05	229.59	298.82	475.64	543.47	991.77
12	Net Profit from ordinary activities after Tax (10 - 11)	567.36	497.02	606.58	1,064.38	932.24	1,861.41
13	Extraordinary items	-	-	-	-	-	-
14	Net Profit for the period (12 - 13)	567.36	497.02	606.58	1,064.38	932.24	1,861.41
15	Paid-up equity share capital (face value of Rs 10 each) (Note 3, 4 and 5)	2,460.17	2,457.65	2,451.68	2,460.17	2,451.68	2,456.41
16	Reserves	12,750.91	12,126.11	11,119.64	12,750.91	11,119.64	12,176.47
17	Earnings per share (Note 3, 4 and 5)						
	Basic EPS (in Rs.)	2.31	2.02	2.47	4.33	3.80	7.59
	Diluted EPS (in Rs.)	2.28	2.01	2.46	4.30	3.79	7.54
18	Public shareholding (Note 3, 4 and 5)						
	Number of shares	8,847,814	8,822,614	8,762,914	8,847,814	8,762,914	8,810,214
	Percentage of shareholding	35.37	35.30	35.15	35.37	35.15	35.27
19	Promoters and promoter group shareholding						
	a) Pledged/Encumbered						
	- Number of shares	Nil	Nil	Nil	Nil	Nil	Nil
	- Percentage of shares (as a % of the total shareholding of promoter and promoter group)	Nil	Nil	Nil	Nil	Nil	Nil
	- Percentage of shares (as a % of the total share capital of the company)	Nil	Nil	Nil	Nil	Nil	Nil
	b) Non-encumbered (Note 3, 4 and 5)						
	- Number of shares	16,169,857	16,169,857	16,169,857	16,169,857	16,169,857	16,169,857
	- Percentage of shares (as a % of the total shareholding of promoter and promoter group)	100.00	100.00	100.00	100.00	100.00	100.00
	- Percentage of shares (as a % of the total share capital of the company)	64.63	64.70	64.85	64.63	64.85	64.73

Notes to consolidated financial results for the quarter and six months ended September 30, 2014

- The above consolidated financial results of the Company have been reviewed by the Audit Committee and thereafter approved by the Board of Directors in their meeting held on November 7, 2014. The Company's Statutory Auditors have carried out the limited review of the unaudited consolidated financial results for the quarter and half year ended September 30, 2014, pursuant to Clause 41 of the Listing Agreement. An unqualified limited review report has been issued by them thereon.
- The above unaudited consolidated financial results of the Company include the financial results of its wholly owned subsidiaries including step subsidiaries - Mindteck Inc., Mindteck Singapore Pte. Limited., Mindteck UK Limited., Mindteck Netherlands B.V., Mindteck Germany GmbH, Mindteck Middle East Limited. SOC., Mindteck Software Malaysia SDN BHD and Chendle Holdings Ltd.
- The Company has consolidated the financial statements of the Mindteck Employees Welfare Trust ('the Trust') with that of its standalone financial statements to comply with the requirements of SEBI (ESOS and ESPS) Guidelines 1999. As a result, the Company's paid up equity shares stand reduced by 416,000 shares as on September 30, 2014. To give effect to the consolidation of the Trust, Rs 41.6 lacs has been reduced from equity share capital, Rs 362.4 lacs has been reduced from securities premium account and Rs 15.71 lacs has been adjusted in reserves. The shares held by the Trust were reduced from outstanding number of shares for computation of basic and diluted EPS of the Company. However, these shares have been included in public share holding in the above statement.
- Number of shares issued upon exercise of stock options/restricted shares by employees is 25,200 for the quarter ended September 30, 2014 and 37,600 for the half year ended September 30, 2014.
- EPS for the quarter is not annualised.
- In April 2014, Mindteck Group has reassessed the estimated useful life of fixed assets considering the guidelines under Schedule II of the Companies Act, 2013. During the quarter ended June 30, 2014, the realignment of the useful lives has resulted in adjustment of Rs 9.21 lacs against the opening balance of retained earnings.

7 Unaudited Financial Results (Standalone information)

Particulars	Quarter ended			Half year ended		Year ended
	30-Sep-2014	30-Jun-2014	30-Sep-2013	30-Sep-2014	30-Sep-2013	31-Mar-2014
	Unaudited	Unaudited	Unaudited	Unaudited	Unaudited	Audited
	(Note 1)	(Note 1)	(Note 1)	(Note 1)	(Note 1)	
Revenues	1,900.60	1,759.41	2,021.07	3,660.01	3,733.96	7,584.00
Profit before tax and exceptional items	484.31	354.10	607.22	838.41	984.99	1,940.92
Profit after tax and exceptional items	321.22	234.93	411.05	556.15	669.90	1,200.64

(Rs in lacs, except as otherwise stated)

Carrying amount of segment assets by location of asset	As at	
	30-Sep-2014	31-Mar-2014
	Unaudited	Audited
- USA	6,110.01	5,595.86
- India	3,236.26	3,320.07
- Rest of the world	2,453.23	1,840.40
- Unallocated corporate asset	8,739.69	8,735.78
Total	20,539.19	19,492.11

(Rs in lacs, except as otherwise stated)

Cost to acquire tangible and intangible fixed assets by location of assets	Half year ended	
	30-Sep-2014	31-Mar-2014
	Unaudited	Audited
- USA	61.17	34.73
- India	92.83	254.73
- Rest of the world	7.32	37.46
Total	161.32	326.92

8 Segmental reporting (Consolidated - unaudited)

The Mindteck Group's operations predominantly relate to providing software services to external customers and providing IT-enabled services to consolidated subsidiaries within the Group. The Group considers business segment as the primary segment and geographical segment based on the location of customers as the secondary segment.

Since IT-enabled services are rendered to subsidiaries which are consolidated, the disclosure of a separate IT-enabled services segment as a separate primary segment is not applicable. The Group is therefore considered to constitute a single primary business segment and accordingly primary segment disclosures have not been presented.

The accounting principles consistently used in the preparation of the consolidated financial statements are also consistently applied to record income and expenditure in the individual segments.

Geographical segments

Revenue from external customers by location of customers	Quarter ended			Half year ended		Year ended
	30-Sep-2014	30-Jun-2014	30-Sep-2013	30-Sep-2014	30-Sep-2013	31-Mar-2014
	Unaudited	Unaudited	Unaudited	Unaudited	Unaudited	Audited
	(Note 1)	(Note 1)	(Note 1)	(Note 1)	(Note 1)	
- USA	6,504.32	6,538.83	6,880.78	13,043.15	13,072.53	26,463.64
- India	191.71	188.23	167.82	379.94	343.60	725.27
- Rest of the world	1,491.46	1,513.93	1,539.77	3,005.39	2,801.76	5,692.33
Total	8,187.49	8,240.99	8,588.37	16,428.48	16,217.89	32,881.24

9 Information on investor complaints pursuant to Clause 41 of the Listing Agreement for the quarter ended September 30, 2014:

Nature of Investor complaints	Opening balance	Additions	Disposal	Closing balance
Nil	Nil	Nil	Nil	Nil

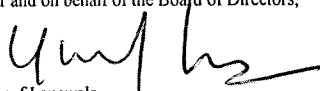
10 Statement of assets and liabilities as at September 30, 2014 is given below:

(Rs in lacs, except as otherwise stated)

Particulars	As at 30-Sep-2014 Unaudited	As at 31-Mar-2014 Audited
EQUITY AND LIABILITIES		
Shareholder's funds		
Share capital	2,460.17	2,456.41
Reserves and surplus	12,750.91	12,176.46
Sub-total - shareholder's funds	15,211.08	14,632.87
Share application money pending allotment	75.66	75.66
Non-Current liabilities		
Other long- term liabilities	44.68	44.48
Long- term provisions	410.63	367.43
Sub-total - non-current liabilities	455.31	411.91
Current liabilities		
Short- term borrowings	1.73	-
Trade payables	1,575.40	1,480.55
Other current liabilities	1,122.44	1,097.48
Short- term provisions	2,097.57	1,793.64
Sub-total - current liabilities	4,797.14	4,371.67
TOTAL - EQUITY AND LIABILITIES	20,539.19	19,492.11
ASSETS		
Non-current assets		
Fixed assets		
Tangible fixed assets	389.09	332.08
Intangible fixed assets	8,812.70	8,828.87
Deferred tax assets (net)	60.12	50.53
Long- term loans and advances	1,476.63	1,474.29
Other non- current assets	30.58	30.71
Sub-total - non-current assets	10,769.12	10,716.48
Current assets		
Trade receivables	5,993.25	5,684.85
Cash and bank balances	1,880.89	1,539.50
Short- term loans and advances	321.66	226.47
Other current assets	1,574.27	1,324.81
Sub-total - current assets	9,770.07	8,775.63
TOTAL - ASSETS	20,539.19	19,492.11

11 Previous period/year figures have been reclassified/ regrouped to confirm with current period/year presentation, wherever applicable.

For and on behalf of the Board of Directors,


Yusuf Lanewala
Chairman & Managing Director
Place : Bengaluru
Date : November 7, 2014
